



Figure 13.23 ■ Simple Moving Averages in the early days of bitcoin
Data sourced from CoinDesk

Pay Attention to Volume

Because of the varying levels of trading that occur with cryptoassets, it's important for the innovative investor to pay close attention to the trading volume of an asset. For a young cryptoasset, it's not unusual to see price increases or decreases along with low volume. This indicates that the trading book is thin and thus the asset is susceptible to wild swings in price. By including an analysis of volume, these swings in price can indicate a sustained trend or a temporary movement. As Charles Bovaird points out in his piece on [Technical Analysis for Coindesk.com](https://www.coindesk.com/technical-analysis/),